

From: noreply-cifssost@sec.gov.ph <noreply-cifssost@sec.gov.ph>

Sent: Tuesday, November 11, 2025 5:03:55 PM

Subject: SEC eFast Initial Acceptance

Dear **LMG CORP.**,

Greetings!

This serves as a temporary receipt of your submission, subject to verification of the form and the quality of the image of the submitted report.

SEC Registration No: 0000042020

Company Name: LMG CORP.

Document Code: SEC_Form_17-Q

A separate email will be sent as proof of review and/or final acceptance.

Thank you.

SECURITIES AND EXCHANGE COMMISSION
SEC Headquarters, 7907 Makati Avenue,
Salcedo Village, Barangay Bel-Air, Makati City,
1209, Metro Manila, Philippines

REMINDER:

TO ALL FILERS OF REPORTS IN THE e-FAST

Please strictly follow the instructions stated in the form. Filings not in accordance with the prescribed template for the following reports will be automatically reverted by the system to the filer: 1. General Information Sheet (GIS-Stock); 2. General Information Sheet (GIS-Non-stock); 3. General Information Sheet (GIS- Foreign stock & non-stock); 4. Broker Dealer Financial Statements (BDFS); 5. Financing Company Financial Statements (FCFS); 6. Investment Houses Financial Statements (IHFS); 7. Publicly – Held Company Financial Statement; 8. General Form for Financial Statements; 9. Financing Companies Interim Financial Statements (FCIF); 10. Lending Companies Interim Financial Statements (LCIF).

Per Section 18 of SEC Memorandum Circular No. 3 series of 2021, the reckoning date of receipt of reports is the date the report was initially submitted to the eFAST, if the filed report is compliant with the existing requirements. A report, which was reverted or rejected, is considered not filed or not received. A notification will be sent to the filer, stating the reason for the report's rejection in the remarks box.

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S.E.C. Number

File

Number _____

LMG CORP.
(Formerly LMG Chemicals Corp)
(Company's Full Name)

Unit 1915 PSE Tower 5th Avenue Corner 28th Street
Bonifacio Global City Taguig City
(Company's Address)

(02) 8636-6686
(Telephone Numbers)

December 31
(Fiscal Year Ending) (month & day)

SEC FORM 17-Q – Quarterly Report
Form Type

Amendment Delegation (If applicable)

September 30, 2025
Period Ended Date

(Secondary License Type and File Number)

COVER SHEET

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SEC Registration Number

[illegible]

(Company's Full Name)

[illegible][illegible]

Ronald Ian W. Ching

(Contract Person)

(02) 8636-6686

(Company Telephone Number)

1	2
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3	1
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Month Day

(Fiscal Year)

1	7	-	Q	
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(Form Type)
For the Quarter
ended September
30, 2025

0	9	1	8
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Month Day

(Annual Meeting)

Securities registered pursuant to
Sections 8 and 12 of the SRC or
Sections 4 and 8 of the RSA

(Secondary License Type, If Applicable)

MSRD

Dept. Requiring this Doc.

Not Applicable

Amended Articles Number/section

23

Total No. of Stockholders

Total Amount of Borrowings

	Total Amount

Domestic

of Borrowings

Foreign

To be accomplished by SEC Personnel concerned

[illegible]

File Number

LCU

LCU

[illegible]

Document ID

Cashier

Cashier

SECURITIES AND EXCHANGE COMMISSION

SEC FORM 17-Q

QUARTERLY REPORT PURSUANT TO SECTION 17 OF THE SECURITIES
REGULATION CODE AND SRC RULE 17(2)(b) THEREUNDER

1. For the quarterly period ended **September 30, 2025**
2. Commission identification number **42020** 3. BIR Tax Identification No **044-000-526-765**

LMG CORP. (formerly LMG Chemicals Corp.)

4. Exact name of issuer as specified in its charter

PHILIPPINES

5. Province, country or other jurisdiction of incorporation or organization

6. Industry Classification Code: (SEC Use Only)

UNIT 1915 PSE TOWER 5TH AVENUE CORNER 28TH STREET **1635**
BONIFACIO GLOBAL CITY, TAGUIG CITY Postal Code

7. Address of issuer's principal office

(632) 8636-6686

8. Issuer's telephone number, including area code

N/A

9. Former name, former address and former fiscal year, if changed since last report

10. Securities registered pursuant to Sections 8 and 12 of the Code, or Sections 4 and 8 of the RSA

Title of each Class	Number of shares of common stock outstanding and amount of debt outstanding
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Common Stock, P0.10 par value	1,935,441,760
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11. Are any or all of the securities listed on a Stock Exchange?

Yes [**X**] No []

If yes, state the name of such Stock Exchange and the class/es of securities listed therein:

PHILIPPINE STOCK EXCHANGE COMMON STOCK

12. Indicate by check mark whether the registrant:

(a) has filed all reports required to be filed by Section 17 of the Code and SRC Rule 17 thereunder or Sections 11 of the RSA and RSA Rule 11(a)-1 thereunder, and Sections 26 and 141 of the Corporation Code of the Philippines, during the preceding twelve (12) months (or for such shorter period the registrant was required to file such reports)

Yes [**X**] No []

(b) has been subject to such filing requirements for the past ninety (90) days.

Yes [**X**] No []

PART I - FINANCIAL INFORMATION

Item 1. Financial Statements.

The unaudited Financial Statements of LMG Corp. (“**LMG**” or the “**Corporation**”) for the first three (3) quarters ended September 30, 2025 are attached as part of the SEC Form 17-Q.

Item 2. Management's Discussion and Analysis of Financial Condition and Results of Operations.

1. Plan of Operation

LMG will continue to evaluate all available opportunities in the infrastructure and heavy equipment industries.

2. Management's Discussion and Analysis

a. Results of Operation

LMG had no sales in the first three (3) quarters of 2025 and also in the same quarters of 2024. It incurred a net income of Php16,010,262 for the first three (3) quarters of 2025 due to the realized gain on Financial Asset at Fair Value through Profit and Loss (“**FAFVPL**”) and unrealized gain on FAFVPL amounting to Php2,493,054 and Php4,164,241 respectively, on dividend income amounting to Php9,815,217, and on interest on savings deposit and short-term placement amounting to Php1,762,311. Net income for the same quarters of 2024 amounted to Php50,172,946.

b. Financial Condition

Total assets as of September 30, 2025 and December 31, 2024 amounted to Php322,520,383 and Php306,578,506, respectively. It has liabilities of Php42,227 and Php110,612 as of September 30, 2025 and December 31, 2024, respectively.

Below are the key performance indicators used by LMG in determining its profitability and liquidity:

Financial KPI	Formula	Jan-Sept 2025	Jan-Sept 2024
Current/liquidity ratio	$\frac{\text{Current assets}}{\text{Current liabilities}}$	7,637.78 :1	7,692.74 :1
Debt-to-equity ratio	$\frac{\text{Total liabilities}}{\text{Total equity}}$	0.000131:1	0.000130:1
Asset-to-equity ratio	$\frac{\text{Total assets}}{\text{Total equity}}$	1.0001	1.0001
Return on asset ratio	$\frac{\text{Net income (loss) before interest expense after tax}}{\text{Average total assets}}$	0.0496	0.1561
Return on equity ratio	$\frac{\text{Net income (loss)}}{\text{Average total equity}}$	0.0496	0.1561

The Corporation is not aware of any other trend or event that would have material impact on its

liquidity.

There are no events that will trigger direct or contingent financial obligations that are material to the Corporation, including any default or acceleration of an obligation.

The Corporation is neither affected by seasonality nor cyclicity of interim operations.

The following are the transactions or events that occurred in the interim period:

- a. No unusual event during the interim period

There were no issuances, repurchases, and repayments of debt and equity securities during the interim period.

No dividends were declared during the interim period.

The following are the transactions or events that occurred subsequent to the interim period:

- a. No unusual event subsequent to the interim period

There were no changes in the composition of the issuer during the interim period.

There were no changes in contingent liabilities or contingent assets since the last annual balance sheet date.

There were no material off-balance sheet transactions, arrangements, obligations (including contingent obligations), and other relationships of the company with unconsolidated entities or other persons were created during the reporting period.

Events that will trigger direct or contingent financial obligations that are material to the Corporation, including any default or acceleration of an obligation:

- a. None

The Corporation is not aware of any trends, demands, commitments, events, or uncertainties that would have material impact on its liquidity.

The Corporation has no knowledge on any events in the future that will have a material effect either on the results of its operation or on its financial condition.

3. Financial Soundness Indicators

The following are the significant indicators used by the Corporation to determine its financial soundness:

	September 2025	September 2024
Asset to Equity ratio	1.0001	1.0001
Times-Interest Rate Coverage ratio	0.00	0.00
Book Value per Share	0.1666	0.1661

*The calculation of book value per share in 2025 and 2024 were adjusted as a result of the reduction of the par value of the Corporation's shares of stock from One Peso (Php1.00) to Ten Centavos (Php0.10) per share.

Formula:

Asset to Equity = Total Assets/Stockholders' Equity

Times-Interest Rate Coverage Ratio = EBIT (Earnings before interest and taxes/total interest expense)

Book Value per share = Stockholders' Equity/Outstanding shares

Other financial indicators to determine the Corporation's liquidity, solvency, and profitability are considered by the Corporation as key performance indicators and are already included in the above discussion of the results of operation and financial condition.

PART II - OTHER INFORMATION

(A) Report on SEC Form 17-C

The following are the reports on SEC Form 17-C filed to the Commission for the 3rd quarter of 2025:

August 7, 2025	Schedule of Annual Stockholders' Meeting and Record Date During its meeting held on August 7, 2025, the Board of Directors of LMG Corp. approved a resolution setting the Annual Stockholders' Meeting on September 18, 2025 with a record date on August 22, 2025. Agenda 1) Call to order 2) Certification of notice and determination of existence of quorum 3) Approval of the Minutes of the Annual Stockholders' Meeting held on September 26, 2024 4) Approval of Annual Report of Officers and the Audited Financial Statements of the Corporation as of December 31, 2024 5) Approval and ratification of acts and proceedings of the Board of Directors, the Board Committees, and Management during their respective terms of offices 6) Election of Board of Directors for the ensuing year 7) Appointment of External Auditor 8) Ratification of corporate acts to comply with the Integrated Annual Corporate Governance Report as of May 30, 2025 9) Other Business that may be brought before the meeting 10) Adjournment The Board of Directors also approved the following resolutions: 1) Approving the agenda of the Annual Stockholders' Meeting; 2) Setting the record date for stockholders entitled to notice of and to vote during the Annual Stockholders' Meeting on August 22, 2025; 3) Approving the stockholders' right to vote through remote communication for the 2025 Annual Stockholders' Meeting; and 4) Approving the publication of the notices of the 2025 Annual Stockholders' Meeting in the business section of two (2) newspapers of general circulation, in print and online format, for two (2) consecutive days of general circulation, in print and online format, for two (2) consecutive days.
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September 18, 2025	Results of the Annual Stockholders' Meeting held on September 18, 2025. LMG Corp. (the "Corporation") held its annual stockholders' meeting on September 18, 2025, via Zoom videoconference at 9:00 AM. Stockholders representing 1,380,874,690 shares of the Corporation's outstanding capital stock, constituting approximately 71% of the Corporation's total outstanding capital stock were present in person or by proxy in this annual stockholders' meeting. The stockholders, constituting 71% of the outstanding capital stock of the Corporation approved and ratified the following: 1. Minutes of the annual meeting of the stockholders held on September 26, 2024; 2. The Annual Report of Officers and the 2024 Audited Financial Statements; 3. All acts and proceedings of the Board of Directors, the Board Committees, and Management during their respective terms of offices; and 4. All the corporate acts and transactions, including the acts of the Board of Directors and the management, to comply with the Integrated Annual Corporate Governance Report as of May 30, 2025. The following were elected as the members of the Board of Directors of the Corporation: Regular directors: 1. Ann Marietta L. Sytin 2. Rommel L. Sytin 3. Robinson W. Siao 4. Constantino L. Navarro III 5. Regis V. Puno 6. Eduardo H. Yap Independent directors: 1. Rafael L. Andrada 2. Wilbert S. Cua 3. Sixto S. Esquivias IV The stockholders, constituting 71% of the outstanding capital stock of the Corporation approved and ratified the following: 1. Minutes of the annual meeting of the stockholders held on September 26, 2024; 2. The Annual Report of Officers and the 2024 Audited Financial Statements; 3. The acts and proceedings of the Board of Directors, the Board Committees, and Management during their respective terms of offices; 4. The appointment of Reyes Tacandong & Co. as external auditor for the calendar year of 2025; and 5. All the corporate acts and transactions, including the acts of the Board of Directors and the management, to comply with the Integrated Annual
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	Corporate Governance Report as of May 30, 2025.
September 18, 2025	Results of the Organizational Meeting of Board of Directors held on September 18, 2025. LMG Corp. (the "Corporation") held its organizational meeting on September 18, 2025 via Zoom videoconference right after the annual meeting of its stockholders. During the meeting, the following were elected as officers of the Corporation for the year 2025-2026 to serve as such until their successors shall have been duly elected and qualified: 1. Chairman of the Board, Corporate Treasurer, and Chief Risk Officer – Rommel L. Sytin 2. Vice-Chairman of the Board, President, and Chief Executive Officer – Robinson W. Siao 3. Corporate Secretary – Atty. Ranulfo Gerardo V. Payos, Jr. 4. Assistant Corporate Secretary – Atty. Eduardo G. Castelo 5. Compliance Officer – Ronald Ian W. Ching The Board of Directors appointed Rafael L. Andrada as the lead director among the independent directors. The following were appointed by the Board of Directors as members of the Committees: Audit Committee: Chairman: Sixto S. Esquivias IV Member: Wilbert S. Cua Member: Constantino L. Navarro III Corporate Governance Committee: Chairman: Wilbert S. Cua Member: Sixto S. Esquivias IV Member: Rafael L. Andrada Board Risk Oversight Committee: Chairman: Rafael L. Andrada Member: Sixto S. Esquivias IV Member: Eduardo H. Yap Related Party Transactions Committee: Chairman: Sixto S. Esquivias IV Member: Wilbert S. Cua Member: Regis V. Puno Investment Committee: Chairman: Robinson W. Siao Member: Rommel L. Sytin Member: Wilbert S. Cua Member: Rafael L. Andrada At the organizational meeting of the Board of Directors of LMG Corp. on September 18, 2025, the Board of Directors adopted the policy to

	continuously comply with the recommendations of the Integrated Annual Corporate Governance Report, as may be applicable and practicable to the Corporation.
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SIGNATURES

Pursuant to the requirements of the Securities Regulation Code, the issuer has duly caused this report to be signed on its behalf by the undersigned thereunto duly authorized.

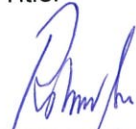
(Signature page follows)

SIGNATURES

Pursuant to the requirements of the Securities Regulation Code, the issuer has duly caused this report to be signed on its behalf by the undersigned thereunto duly authorized.

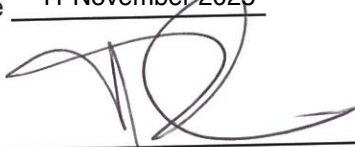
Issuer: **LMG CORP.**

Signature and Title:



ROBINSON W. SIAO
President/Chief Executive Officer

Date 11 November 2025



ROMMEL L. SYTIN
Treasurer

Date 11 November 2025

SEC Registration Number

COMPANY NAME

PRINCIPAL OFFICE (No./Street/Barangay/City/Town/Province)

Form Type

Department requiring the report

Secondary License Type, If Applicable

COMPANY INFORMATION

Company's Email Address

rgvpayos@punolaw.com

Company's Telephone Number/s

(632) 8636-6686

Mobile Number

N/A

No. of Stockholders23Annual Meeting (Month / Day)

3rd Thursday of September

Fiscal Year (Month / Day)December 31

CONTACT PERSON'S INFORMATION

The designated contact person **MUST** be an Officer of the Corporation

Name of Contact Person

Ronald Ian W. Ching

Email Address

ianching@hotmail.com

Telephone Number/s

(02) 8636-6686

Mobile Number

0927-8590317

CONTACT PERSON'S ADDRESS

Unit 1915, PSE Tower, 5th Avenue corner 28th Street, Bonifacio Global City, Taguig City

NOTE 1: In case of death, resignation or cessation of office of the officer designated as contact person, such incident shall be reported to the Commission within thirty (30) calendar days from the occurrence thereof with information and complete contact details of the new contact person designated.

2: All boxes must be properly and completely filled-up. Failure to do so shall cause the delay in updating the corporation's records with the Commission and/or non-receipt of Notice of Deficiencies. Further, non-receipt shall not excuse the corporation from liability for its deficiencies.

LMG CORP.
(FORMERLY LMG CHEMICALS CORP.)
STATEMENTS OF FINANCIAL POSITION

	Note	September 2025 (Unaudited)	December 2024 (Audited)
ASSETS			
Current Assets			
Cash and cash equivalents	4	₱52,385,378	₱ 52,673,352
Financial Asset at FVPL	5	258,197,610	243,904,642
Receivables	6	10,019,702	8,159,285
Other current assets	7	1,917,693	1,841,227
		322,520,383	306,578,506
TOTAL ASSETS		₱322,520,383	₱306,578,506
LIABILITY AND EQUITY			
Current Liability			
Accrued expenses and other payables	8	₱5,000	₱105,000
Other current liabilities		37,227	5,612
Total Current Liabilities		42,227	110,612
Equity			
Capital stock	9	193,644,204	193,644,204
Additional paid-in capital		51,480,533	51,480,533
Retained earnings		77,642,419	61,632,157
Treasury stock	9	(289,000)	(289,000)
Total Equity		322,478,156	306,467,894
TOTAL LIABILITES AND EQUITY		₱322,520,383	₱306,578,506

See accompanying Notes to Financial Statements.

LMG CORP.

(FORMERLY LMG CHEMICALS CORP.)

STATEMENTS OF COMPREHENSIVE INCOME
FOR THE QUARTERS ENDED SEPTEMBER 30, 2025 (UNAUDITED)
(With Comparative Figures for September 30, 2024)

		July to September 2025	January to September 2025	July to September 2024	January to September 2024
	(notes)				
SALES		-	-		-
COST OF SALES		-	-		-
GROSS PROFIT		-	-		-
GENERAL AND ADMINISTRATIVE EXPENSES	10	965,596	2,224,561	1,226,953	2,565,705
REALIZED GAIN (LOSS) ON FAFVPL		2,337,694	2,493,054	4,621,994	5,899,994
UNREALIZED GAIN (LOSS) ON FAFVPL		(8,585,605)	4,164,241	28,964,921	36,805,039
DIVIDEND INCOME		2,174,422	9,815,217	1,601,741	8,140,543
INTEREST INCOME	4	567,291	1,762,311	638,151	1,893,075
		(3,506,198)	18,234,823	35,826,807	52,738,651
INCOME (LOSS) BEFORE INCOME TAX		(4,471,794)	16,010,262	34,599,854	50,172,946
INCOME TAX EXPENSE	12		-		-
NET INCOME (LOSS) AFTER TAX		(4,471,794)	16,010,262	34,599,854	50,172,946
OTHER COMPREHENSIVE INCOME (LOSS)			-		-
TOTAL COMPREHENSIVE INCOME (LOSS)		(4,471,794)	16,010,262	34,599,854	50,172,946
BASIC/DILUTED INCOME / LOSS PER SHARE	13	0.002	0.008	0.018	0.026

See accompanying Notes to Financial Statements

LMG CORP.

(FORMERLY LMG CHEMICALS CORP.)

STATEMENTS OF CHANGES IN EQUITY

FOR THE QUARTER ENDED SEPTEMBER 30, 2025 (UNAUDITED)

(With Comparative Figures for September 30, 2024)

	Capital Stock	Additional Paid in Capital	Retained Earnings	Treasury	Total
Balance at January 1, 2025	193,644,204	51,480,533	61,632,157	(289,000)	306,467,894
Net income / Loss	-	-	16,010,262	-	16,010,262
Balance at September 30, 2025	193,644,204	51,480,533	77,642,419	(289,000)	322,478,156

	Capital Stock	Additional Paid in Capital	Retained Earnings	Treasury	Total
Balance at January 1, 2024	193,644,204	51,480,533	26,467,584	(289,000)	271,303,321
Net income / Loss	-	-	50,172,946		50,172,946
Balance at September 30, 2024	193,644,204	51,480,533	76,640,530	(289,000)	321,476,267

See accompanying Notes to Financial Statements.

LMG CORP.
(FORMERLY LMG CHEMICALS CORP.)
STATEMENTS OF CASH FLOWS
FOR THE QUARTER ENDED SEPTEMBER 30, 2025 (UNAUDITED)
(With Comparative Figures for September 30, 2024)

	Note	January to September 2025	January to September 2024
CASH FLOWS FROM OPERATING ACTIVITIES			
Income (loss) before income tax		₱16,010,262	₱50,172,946
Adjustments for:			
Interest income	4,6	(1,762,311)	(1,893,075)
Dividend income	5	(9,815,217)	(8,140,543)
Realized (gain) loss on Financial Asset at fair value through profit or loss	5	(2,493,054)	(5,899,994)
Unrealized (gain) loss on Financial asset at fair value through profit or loss	5	(4,164,241)	(36,805,039)
Operating loss before working capital changes		(2,224,561)	(2,565,705)
Decrease (increase) in:			
Financial assets at fair value through profit or loss		(7,635,673)	(11,784,019)
Receivable		(1,860,417)	4,195,654
Other current assets		(76,466)	(299,976)
Increase (decrease) in:			
Accrued expenses and other payables and other payables		(100,000)	(215,000)
Other current liabilities		31,615	(104,499)
Net cash used for operations		(11,865,502)	(10,773,545)
Interest received		1,762,311	1,893,075
Dividend income		9,815,217	8,140,543
CASH FLOWS FROM OPERATING ACTIVITIES		(287,974)	(739,927)
CASH AND CASH EQUIVALENTS AT BEGINNING OF YEAR		52,673,352	53,296,578
CASH AND CASH EQUIVALENTS AT END OF THE QUARTERS		₱52,385,378	₱52,556,651

See accompanying Notes to Financial Statements.

LMG CORP.
(FORMERLY LMG CHEMICALS CORP.)
NOTES TO FINANCIAL STATEMENTS

1. General Information

Corporate Information

LMG Corp. (formerly LMG Chemical Corp.) (the “**Corporation**”) was incorporated in the Philippines and registered with the Securities and Exchange Commission (“**SEC**”) on August 19, 1970. The Corporation operates as a holding company.

The common shares of the Corporation were listed beginning January 7, 1986 and have been traded in the Philippine Stock Exchange (PSE) since then.

On July 2, 2022 and September 15, 2022, the Board of Directors (“**BOD**”) and stockholders, respectively, approved the proposed amendment to the Articles of Incorporation of the Corporation to change the principal office address from 1006B West Tower, Philippine Stock Exchange Centre, Exchange Road, Ortigas Center, Pasig City to Unit 1915, PSE Tower, 5th Avenue corner 28th Street, Bonifacio Global City, Taguig City.

On December 19, 2023, the SEC approved the Corporation’s amended Articles of Incorporation regarding the change in par value of LMG Corp. from One Peso (Php1.00) to Ten Centavos (Php0.10).

The registered office address of the Corporation is Unit 1915 PSE Tower, 5th Avenue corner 28th Street, Bonifacio Global City, Taguig City.

2. Summary of Significant Accounting Policies

Basis of Preparation

The financial statements of the Corporation have been prepared in compliance with Philippine Financial Reporting Standards (“**PFRS**”) issued by the Philippine Financial Reporting Standards Council and adopted by the SEC. This financial reporting framework includes PFRS, Philippine Accounting Standards (“**PAS**”) and Philippine interpretations from International Financial Reporting Interpretations Committee (“**IFRIC**”) issued by the Philippine Financial and Sustainability Reporting Standards Council (formerly Financial Reporting Standards Council) and adopted by the SEC, including SEC pronouncements.

Measurement Basis

The financial statements are presented in Philippine Peso, the Corporation’s functional currency.

All values are in absolute amounts, except when otherwise indicated.

The financial statements have been prepared on a historical cost basis. Historical cost is generally based on the fair value of the consideration given in exchange for an asset and fair value of the consideration received in exchange for incurring a liability. Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date.

The Corporation uses market observable data to the extent possible when measuring the fair value of an asset or a liability. Fair values are categorized into different levels in a fair value hierarchy based on inputs used in the valuation techniques:

- Level 1 - Quoted (unadjusted) market prices in active markets for identical assets or liabilities;
- Level 2 - Valuation techniques for which the lowest level input that is significant to the fair value measurement is directly or indirectly observable; or
- Level 3 - Valuation techniques for which the lowest level input that is significant to the fair value measurement is unobservable.

If the inputs used to measure the fair value of an asset or a liability might be categorized in different levels of the fair value hierarchy, then the fair value measurement is categorized in its entirety in the same level of the fair value hierarchy as the lowest level input that is significant to the entire measurement.

The Corporation recognizes transfers between levels of the fair value hierarchy at the end of the reporting period during which the change has occurred.

Further information on assumptions used in fair value measurement is disclosed in Note 15 to the financial statements.

- Note 5 Financial Asset at FVPL
- Note 15 Fair Value Measurement

Adoption of Amended PFRS

The accounting policies adopted are consistent with those of the previous financial year, except for the adoption of the following relevant amended PFRS, which the Corporation adopted effective January 1, 2023:

- Amendments to PAS 1, *Presentation of Financial Statements*, and PFRS Practice Statement 2, *Making Materiality Judgments - Disclosure Initiative - Accounting Policies* – The amendments require an entity to disclose its material accounting policies, instead of its significant accounting policies and provide guidance on how an entity applies the concept of materiality in making decisions about accounting policy disclosures. In assessing the materiality of accounting policy information, entities need to consider both the size of the transactions, other events or conditions and its nature. The amendments clarify (1) that accounting policy information may be material because of its nature, even if the related amounts are immaterial, (2) that accounting policy information is material if users of an entity's financial statements would need it to understand other material information in the financial statements, and (3) if an entity discloses immaterial accounting policy information, such information should not obscure material accounting policy information. In addition, PFRS Practice Statement 2 is amended by adding guidance and examples to explain and demonstrate the application of the 'four-step materiality process' to accounting policy information.
- Amendments to PAS 8, *Accounting Policies, Changes in Accounting Estimates and Errors - Definition of Accounting Estimates* – The amendments clarify the distinction between changes in accounting estimates and changes in accounting policies, and the correction of errors. Under the new definition, accounting estimates are "monetary amounts in financial statements that are subject to measurement uncertainty". An entity develops an accounting estimate if an accounting

policy requires an item in the financial statements to be measured in a way that involves measurement uncertainty. The amendments clarify that a change in accounting estimate that results from new information or new developments is not a correction of an error, and that the effects of a change in an input or a measurement technique used to develop an accounting estimate are changes in accounting estimates if they do not result from the correction of prior period errors. A change in an accounting estimate may affect only the profit or loss in the current period, or the profit or loss of both the current and future periods.

- Amendments to PAS 12, *Income Taxes - Deferred Tax Related Assets and Liabilities from a Single Transaction* – The amendments require companies to recognize deferred tax on transactions that, on initial recognition, give rise to equal amounts of taxable and deductible temporary differences.
- Amendments to PAS 1 - *Classification of Liabilities as Current or Noncurrent* – The amendments clarify the requirements for an entity to have the right to defer settlement of the liability for at least 12 months after the reporting period. The amendments also specify and clarify the following: (i) an entity's right to defer settlement must exist at the end of the reporting period, (ii) the classification is unaffected by management's intentions or expectations about whether the entity will exercise its right to defer settlement, (iii) how lending conditions affect classification, and (iv) requirements for classifying liabilities where an entity will or may settle by issuing its own equity instruments.
- Under prevailing circumstances, the adoption of the foregoing amended PFRS is not expected to have any material effect on the Corporation's financial statements. Additional disclosures will be included in the financial statements, as applicable.

Financial Instruments

A financial instrument is any contract that gives rise to a financial asset of one entity or a financial liability or equity instrument of another entity.

Date of Recognition. The Corporation recognizes a financial asset or a financial liability in the statements of financial position when it becomes a party to the contractual provisions of a financial instrument. In the case of a regular way purchase or sale of financial assets, recognition and derecognition, as applicable, is done using settlement date accounting.

Initial Recognition and Measurement. Financial instruments are recognized initially at fair value, which is the fair value of the consideration given. The initial measurement of financial instruments, except for those designated at fair value through profit and loss ("**FVPL**"), includes transaction cost.

Classification. The Corporation classifies its financial assets at initial recognition under the following categories: (a) financial assets at amortized cost, (b) financial assets at fair value through other comprehensive income ("**FVOCI**") and (c) financial assets at FVPL. The classification of a financial instrument largely depends on the company's business model for managing the asset and its contractual cash flow characteristics.

As of September 30, 2025, the Corporation does not have financial assets at FVOCI.

Financial Assets at Amortized Cost. Financial assets shall be measured at amortized cost if both of the following conditions are met:

- the financial asset is held within a business model whose objective is to hold financial assets in order to collect contractual cash flows; and
- the contractual terms of the financial asset give rise, on specified dates, to cash flows that are solely payments of principal and interest on the principal amount outstanding.

After initial recognition, financial assets at amortized cost are subsequently measured at amortized cost using the effective interest method, less allowance for impairment, if any. Amortized cost is calculated by taking into account any discount or premium on acquisition and fees that are an integral part of the effective interest rate. Gains and losses are recognized in profit or loss when the financial assets are derecognized or impaired through the amortization process. Financial assets at amortized cost are included under current assets if realizability or collectability is within 12 months after the reporting period. Otherwise, these are classified as noncurrent assets.

As of September 30, 2025 and 2024, the Corporation's cash and cash equivalents and receivables are classified under this category (see Notes 4 and 6).

Cash and cash equivalents include cash on hand, cash in banks, and short-term placements. Cash equivalents are highly liquid investments with original maturities of three months or less that are readily convertible to known amounts of cash and which are subject to an insignificant risk of changes in value.

Financial Assets at FVPL. Financial assets at FVPL include financial assets that are (a) held for trading, (b) designated upon initial recognition at FVPL, or (c) mandatorily required to be measured at fair value. Financial assets are classified as held for trading if they are acquired for the purpose of selling or repurchasing in the near term. Derivatives, including separated embedded derivatives, are also classified as held for trading unless they are designated as effective hedging instruments.

This category includes debt instruments whose cash flows, based on the assessment at initial recognition of the assets, are not "solely for payment of principal and interest", and which are not held within a business model whose objective is either to collect contractual cash flows or to both collect contractual cash flows and sell. The Corporation may, at initial recognition, designate a debt instrument meeting the criteria to be classified at amortized cost or at FVOCI, as a financial asset at FVPL, if doing so eliminates or significantly reduces accounting mismatch that would arise from measuring these assets.

This category also includes equity instruments which the Corporation had not irrevocably elected to classify at FVOCI at initial recognition.

After initial recognition, financial assets at FVPL are subsequently measured at fair value. Gains or losses arising from the fair valuation of financial assets at FVPL are recognized in profit or loss.

As of September 30, 2025, the Corporation's investments in various listed equity securities are classified under this category (see Note 5).

Impairment of Financial Assets at Amortized Cost. The Corporation recognizes an allowance for expected credit loss ("ECL") for all debt instruments not held as financial asset at FVPL. ECL is based on the difference between the contractual cash flows due in accordance with the contract and all the cash flows that the Corporation expects to receive, discounted at an approximation to the asset's original effective interest rate. The expected cash flows will include cash flows from the sale of

collateral held or other credit enhancements that are integral to the contractual terms.

For other debt instruments measured at amortized cost, the ECL is based on the twelve (12)-month ECL, which pertains to the portion of lifetime ECLs that result from default events on a financial instrument that are possible within twelve (12) months after the reporting date. However, when there has been a significant increase in credit risk since initial recognition, the allowance will be based on the lifetime ECL. When determining whether the credit risk of a financial asset has increased significantly since initial recognition, the Corporation compares the risk of a default occurring on the financial instrument as at the reporting date with the risk of a default occurring on the financial instrument as at the date of initial recognition. The Corporation also considers reasonable and supportable information, that is available without undue cost or effort that is indicative of significant increases in credit risk since initial recognition.

Financial assets at amortized costs are written off when there is no reasonable expectation of recovering the financial asset in its entirety or a portion thereof. This is generally the case when the Corporation determines that the borrower does not have assets or source of income that could generate sufficient cash flows to repay the amount of financial asset for write-off. This assessment is carried out at the individual financial asset level.

Derecognition. A financial asset (or where applicable, a part of a financial asset or part of a group of similar financial assets) is derecognized when:

- the right to receive cash flows from the asset has expired;
- the Corporation retains the right to receive cash flows from the financial asset, but has assumed an obligation to pay them in full without material delay to a third party under a “pass-through” arrangement; or
- the Corporation has transferred its right to receive cash flows from the financial asset and either (a) has transferred substantially all the risks and rewards of the asset, or (b) has neither transferred nor retained substantially all the risks and rewards of the asset but has transferred control of the asset.

When the Corporation has transferred its right to receive cash flows from a financial asset or has entered into a pass-through arrangement, and has neither transferred nor retained substantially all the risks and rewards of ownership of the financial asset nor transferred control of the financial asset, the financial asset is recognized to the extent of the Corporation’s continuing involvement in the financial asset. Continuing involvement that takes the form of a guarantee over the transferred financial asset is measured at the lower of the original carrying amount of the financial asset and the maximum amount of consideration that the Corporation could be required to repay.

Financial Liabilities at Amortized Cost

Initial Recognition and Measurement. Financial liabilities are recognized initially at fair value, which is the fair value of the consideration received. In case of financial liabilities at amortized costs, the initial measurement is net of any directly attributable transaction costs.

Financial liabilities are categorized as financial liabilities at amortized cost when the substance of the contractual arrangement results in the Corporation having an obligation either to deliver cash or

another financial asset to the holder, or to settle the obligation other than by the exchange of a fixed amount of cash or another financial asset for a fixed number of its own equity instruments.

After initial recognition, these financial liabilities are subsequently measured at amortized cost using the effective interest method. Amortized cost is calculated by taking into account any discount or premium on the issue and fees that are an integral part of the effective interest rate. Gains and losses are recognized in profit or loss when the liabilities are derecognized or impaired or through the amortization process.

As of September 30, 2025, and 2024, the Corporation's accrued expenses and other payables (excluding statutory payables) are classified under this category (see Note 8).

Derecognition. A financial liability is derecognized when the obligation under the liability is discharged, cancelled or has expired. When an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is treated as a derecognition of the original liability and the recognition of a new liability, and the difference in the respective carrying amounts is recognized in statements of comprehensive income.

Other Nonfinancial Assets

Other current assets consist of input value-added tax ("**VAT**") and prepayments.

Input VAT. VAT is a tax on consumption levied on the sale, barter, exchange or lease of goods, or properties and services, and on the importation of goods in the Philippines. It is an indirect tax, which may be shifted or passed on to the buyer, transferee or lessee of goods, properties or services.

Revenue, expenses and assets are generally recognized net of the amount of VAT. Input VAT is recognized to the extent that is recoverable. Any excess input VAT assessed as unrecoverable is provided with allowance for impairment.

Prepayments. Prepayments are expenses paid in advance and recorded as assets before these are utilized. Prepayments are apportioned over the period covered by the payment and included in profit or loss when incurred. Prepayments that are expected to be realized within 12 months after the financial reporting period are classified as current assets. Otherwise, these are classified as noncurrent assets.

Impairment of Nonfinancial Assets

The carrying amounts of nonfinancial assets are reviewed for impairment when events or changes in circumstances indicate that the carrying amount may not be recoverable. If any such indication exists and when the carrying amounts exceed the estimated recoverable amounts, the assets are written down to their recoverable amounts. The recoverable amount of the asset is the greater of the fair value less cost to sell or value in use. The fair value less cost to sell is the amount obtainable from the sale of an asset in an arm's-length transaction. In assessing value in use, the estimated future cash flows are discounted to their present value using a pretax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. Impairment losses are recognized in profit or loss.

An assessment is made at each reporting date as to whether there is any indication that previously recognized impairment losses may no longer exist or may have decreased. If such indication exists,

the recoverable amount is estimated. A previously recognized impairment loss is reversed only if there has been a change in the estimates used to determine the asset's recoverable amount since the last impairment loss was recognized. In such instance, the carrying amount of the asset is increased to its recoverable amount. However, that increased amount cannot exceed the carrying amount that would have been determined, had no impairment loss been recognized for the asset in prior years. Such reversal is recognized in profit or loss.

Equity

Capital Stock. Capital stock is measured at par value for all shares issued and outstanding.

Additional Paid-in Capital ("APIC"). APIC represents the proceeds and/or fair value of considerations received in excess of par value of the issued. Incremental costs directly attributable to the issuance of new stocks are recognized as a deduction from equity, net of any tax effects.

Retained Earnings (Deficit). Retained earnings (deficit) represent the cumulative balance of net income or loss, net of any dividend declarations. At each reporting date, net income or loss of the Corporation is transferred to retained earnings. When the retained earnings amount has a debit balance, it is called 'deficit'. A deficit is a deduction from equity.

Treasury Stock. Treasury stock pertains to the Corporation's common shares which were reacquired, recorded at cost and is deducted from equity. No gain or loss is recognized in profit or loss on the purchase, sale or cancellation of the Corporation's common shares. Any difference between the carrying amount and the consideration received, if any, upon reissuance or cancellation of shares is recognized as additional paid-in capital. Voting rights related to treasury shares are nullified for the Corporation and no dividends are allocated to them.

Revenue Recognition

Revenue is recognized to the extent that it is possible that the economic benefits will flow to the Corporation and the amount of revenue can be measured reliably. Revenue is measured at the fair value of the consideration received or receivable, taking into account contractually defined terms of payment and excluding taxes and duties.

The Corporation also assesses its revenue arrangements to determine if it is acting as a principal or as an agent. The Corporation has assessed that it acts as a principal in its revenue arrangements.

The following specific recognition criteria for revenues outside the scope of PFRS 15, *Revenue from Contracts with customers*:

Trading Gains on Financial Assets at FVPL. Trading gains on financial assets at FVPL include all gains and losses from changes in fair value and disposal of financial assets at FVPL. Unrealized gains or losses are recognized in profit or loss upon remeasurement of the financial assets at FVPL at each reporting date. Gains or losses from sale of financial assets at FVPL are recognized in profit or loss upon confirmation of trade deals.

Interest income. Interest income is recognized in profit or loss as it accrues taking into account the effective yield on the asset, net of final taxes.

Dividend Income. Dividend Income is recognized when the Corporation's right to receive payment is established.

Expense Recognition

Expenses are recognized in profit or loss when a decrease in future economic benefit related to a decrease in an asset or an increase of a liability has arisen that can be measured reliably. These are expensed as incurred.

Income Taxes

Current Tax. Current tax assets and liabilities are measured at the amount expected to be recovered from or paid to the taxation authorities. The tax rate and tax laws used to compute the amount are those that have been enacted or substantively enacted at the reporting date.

Deferred Tax. Deferred tax is provided on all temporary differences at the reporting date between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes.

Deferred tax liabilities are recognized for all taxable temporary differences. Deferred tax assets are recognized for all deductible temporary differences, carryforward benefits of unused tax credits from the excess of minimum corporate income tax ("MCIT") over the regular corporate income tax ("RCIT") and unused net operating loss carryover ("NOLCO"), to the extent that it is probable that taxable profit will be available against which the deductible temporary differences and carryforward benefits of unused tax credits and unused tax losses can be utilized. Deferred tax, however, is not recognized when it arises from the initial recognition of an asset or a liability in a transaction that is not a business combination and, at the time of the transaction, affects neither the accounting profit nor taxable profit or loss.

The carrying amount of deferred tax assets is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred tax asset to be utilized. Unrecognized deferred tax assets are reassessed at each reporting date and are recognized to the extent that it has become probable that future taxable profit will allow the deferred tax asset to be recovered.

Deferred tax assets and liabilities are measured at the tax rates that are expected to apply to the period when the asset is realized or the liability is settled, based on tax rates and tax laws that have been enacted or substantively enacted at the reporting date.

Deferred tax assets and liabilities are offset, if a legally enforceable right exists to set off current tax assets against current tax liabilities and the deferred taxes relate to the same taxable entity and the same taxation authority.

Related Party Transactions

Related party transactions are the transfers of resources, services, or obligations between the Corporation and its related parties, regardless of whether a price is charged.

Related party relationships exist when one party has the ability to control, directly or indirectly through one or more intermediaries, the other party or exercise significant influence over the other party in making financial and operating decisions. Such relationships also exist between and/or among entities which are under common control with the reporting enterprise, or between and/or

among the reporting enterprise and its key management personnel, directors, or its stockholders. Related parties may be individual or corporate entities.

Provisions and Contingencies

Provisions. Provisions are recognized when the Corporation has a present obligation (legal or constructive) as a result of a past event, it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation. Where the Corporation expects some or all of a provision to be reimbursed, the reimbursement is recognized as a separate asset but only when the reimbursement is virtually certain. The expense relating to any provision is presented in profit or loss net of any reimbursement. If the effect of the time value of money is material, estimated future cash flows are discounted using a current pretax rate that reflects current market assessment of the time value of money and, where appropriate, the risks specific to the liability. Where discounting is used, the increase in the provision due to the passage of time is recognized as an interest expense.

Contingencies. Contingent liabilities are not recognized in the financial statements. These are disclosed unless the possibility of an outflow of resources embodying economic benefits is remote. Contingent assets are not recognized in the financial statements but are disclosed in the notes to financial statements when an inflow of economic benefits is probable.

Earnings (Loss) per Share

Basic income per share is calculated by dividing the net income for the year attributable to common stockholders by the weighted average number of common stocks outstanding during the year, with retroactive adjustment for any stock dividends or stock splits declared during the year.

Diluted income (loss) per share is computed by dividing net income by the weighted average number of common stocks outstanding during the year, after giving retroactive effect for any stock dividends, stock splits or reverse stock splits during the year, and adjusted for the effect of dilutive options.

Events After the Reporting Date

Post year-end events that provide additional information about the Corporation's financial position at the end of the reporting period (adjusting events) are reflected in the financial statements, when material. Post year-end events that are not adjusting events are disclosed in the notes to financial statements when material.

3. Material Judgments, Accounting Estimates and Assumptions

The preparation of the financial statements in compliance with PFRS requires management to exercise judgments and make accounting estimates and assumptions that affect the reported amounts in the financial statements and related notes. The judgments, accounting estimates and assumptions used in the financial statements are based on management's evaluation of relevant facts and circumstances as at the reporting date.

While the Corporation believes that the assumptions are reasonable and appropriate, significant differences in the actual experience or significant changes in the assumptions may materially affect the estimated amounts. Actual results could differ from such estimates.

The accounting estimates and underlying assumptions are reviewed on an ongoing basis. Revisions in accounting estimates are recognized in the period in which the estimate is revised if the revision affects only that period or in the period of the revision and future periods if the revision affects both current and future periods.

The following are the significant judgments, accounting estimates and assumptions made by the Corporation:

Judgments

Classification of Financial Assets. Classification and measurement of financial assets depends on the results of the contractual cash flow and the business model tests. The Corporation determines the business model at a level that reflects how groups of financial assets are managed together to achieve a particular business objective. This assessment includes judgment reflecting all relevant evidence including how the performance of the assets is evaluated, the risks that affect the performance of the assets, and how these risks are managed.

At initial recognition, the Corporation irrevocably designated its investments in listed equity securities as financial assets at FVPL (see Note 5).

Cash and cash equivalents and receivables were classified as financial assets at amortized cost (see Notes 4 and 6).

Accounting Estimates and Assumptions

Assessment for Impairment Losses on Financial Assets at Amortized Cost. The Corporation determines the allowance for impairment losses using general approach based on the probability-weighted estimate of the present value of all cash shortfalls over the expected life of financial assets at amortized cost. Impairment loss is provided for credit losses that result from possible default events within the next twelve (12) months unless there has been a significant increase in credit risk since initial recognition in which case ECLs are provided based on lifetime ECL.

When determining if there has been a significant increase in credit risk, the Corporation considers reasonable and supportable information that is available without undue cost or effort and that is relevant for the particular financial instrument being assessed such as, but not limited to, the following factors:

- Actual or expected external and internal credit rating downgrade;
- Existing or forecasted adverse changes in business, financial or economic conditions;
- Actual or expected significant adverse changes in the operating results of the counterparty.

The Corporation also considers financial assets that are past due to be the latest point at which lifetime ECL should be recognized unless it can demonstrate that this does not represent a significant risk in credit risk such as when non-payment was an administrative oversight rather than resulting from financial difficulty of the borrower.

The Corporation has assessed that the impairment losses on financial assets at amortized cost are not material because the transactions with respect to these financial assets were entered into by the Corporation only with reputable banks and a related party with good credit standing and relatively low risk of defaults except for receivables.

No provision for impairment losses on financial assets at amortized cost was recognized as of September 30, 2025 and 2024. Allowance for impairment losses on nontrade receivables amounted to ₱62,912,858 as at September 30, 2025 and 2024 (see Note 6).

The carrying amounts the Corporation's financial assets at amortized cost are as follows:

	Note	September 2025	December 2024
Cash in banks and cash equivalents	4	₱52,375,378	₱52,663,352
Receivables	6	10,019,702	8,159,285

**Excluding cash on hand amounting to ₱10,000 as of September 30, 2025 and December 31, 2024.*

There were no impairment losses on input VAT as of September 30, 2025 and December 31, 2024. The carrying amount of other nonfinancial assets amounted to ₱1,917,693 and ₱1,841,227 as of September 30, 2025 and December 31, 2024, respectively (see Note 7).

Recognition of Deferred Tax Assets. The Corporation reviews the carrying amount of deferred tax assets at each reporting date and reduces the balance to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred tax assets to be utilized.

4. Cash and Cash Equivalents

This account consists of:

	September 2025 Unaudited	December 2024 Audited
Cash on hand	₱10,000	₱10,000
Cash in banks	302,435	386,915
Short-term placements	52,072,943	52,276,437
	₱52,385,378	₱52,673,352

Cash in banks earns interest at prevailing bank deposit rates and is immediately available for use in the Corporation's current operations. Short-term placements are made for varying periods of up to three (3) months and earn interest up to 6% per annum.

Details of interest income are as follows:

	September 2025 Unaudited	December 2024 Audited
Short-term placements	₱1,762,091	₱2,526,638
Cash in banks	220	266
	₱1,762,311	₱2,526,904

5. Financial Asset at Fair Value Through Profit or Loss

Financial assets at FVPL represent listed equity securities held by the Corporation for trading purposes amounting to ₱258,197,610 and ₱243,904,642 as of September 30, 2025 and December 31, 2024, respectively.

Dividend income earned from financial assets at FVPL amounted to ₱9,815,217 and ₱8,140,543 for the three (3) quarters ending September 30, 2025, and September 30, 2024 respectively.

Trading gains on financial assets at FVPL consists of:

	September 2025 Unaudited	September 2024 Unaudited
Unrealized gain on valuation of financial assets at FVPL	₱4,164,241	₱36,805,039
Realized gains on sale of trading securities	2,493,054	5,899,994
	₱6,657,295	₱42,705,033

The Corporation's financial assets at FVPL as of September 30, 2025 and December 31, 2024 are carried at fair values based on sources classified under the Level 1 category. The fair values of financial assets at FVPL are based on quoted market prices or bidding dealer price quotations from active market as at reporting date (See note 15).

6. Receivables

This account consists of:

	September 2025 Unaudited	December 2024 Audited
Nontrade receivables	₱62,912,858	₱62,912,858
Receivable from stockbroker	9,685,567	7,286,695
Interest receivable	334,135	368,549
Other receivable	0	504,041
	72,932,560	71,072,143
Less allowance for impairment losses on receivables	(62,912,858)	(62,912,858)
	₱10,019,702	₱8,159,285

Nontrade receivables include amounts collectible from previous stockholders of the Corporation which were fully provided with provision for impairment losses.

Receivable from stockbroker pertains to funds of the Corporation in the possession of the stockbroker and are generally collectible within one (1) year.

Interest receivable arising from short-term placements is generally collectible within one (1) month.

Allowance for impairment losses on receivables amounted to ₱62,912,858 as of September 30, 2025 and December 31, 2024. No provision for impairment losses on receivables was recognized as of September 30, 2025 and 2024.

7. Other Current Assets

This account consists of:

	September 2025 (Unaudited)	December 2024 (Audited)
Input VAT	₱2,252,863	₱2,086,621
Prepayments	81,591	95,584
Others	5,344	81,127
	2,339,798	2,263,332
Less allowance for impairment losses	(422,105)	(422,105)
	₱1,917,693	₱1,841,227

The balance and movement of additional impairment loss on other current assets are as follows for September 2025 and December 2024.

	September 2025 (Unaudited)	December 2024 (Audited)
Balance at the beginning	₱422,105	₱422,105
Write-Off	0	0
	₱422,105	₱422,105

8. Accrued Expenses and Other Payables

This account consists of:

	September 2025 (Unaudited)	December 2024 (Audited)
Accrued expenses	₱5,000	₱105,000
Others	37,227	5,612
	₱42,227	₱110,612

Accrued expenses and other payables pertain to professional, accounting, legal services and statutory payables incurred but not yet paid by the Corporation. These are generally unsecured, noninterest-bearing and are payable within one (1) year.

9. Equity

Capital Stock

Details of the Corporation's capital stock at ₱0.10 par value as of September 30, 2025 and December 31, 2024 are as follows:

	Number of Shares	Amount
Authorized	2,000,000,000	₱200,000,000
Issued	1,936,442,040	193,644,204
Outstanding	1,935,441,760	193,544,176

Treasury Stock

The Corporation has treasury stock with cost amounting to ₱289,000 representing 1,000,280 shares at ₱0.10 par value per share as of September 30, 2025 and December 31, 2024.

Capital Management

The primary objective of the Corporation's capital management is to ensure that it maintains a strong and healthy financial position to support its current business operations and maximize shareholder value.

The Corporation considers equity contributions from stockholders totaling ₱245,124,737 as of September 30, 2025 and December 31, 2024 as its capital employed.

The Corporation manages its capital structure and makes adjustments to it whenever there are changes in economic conditions. To maintain or adjust the capital structure, the Corporation may adjust its borrowings or raise capital. No changes were made in the objectives, policies, or processes as of September 30, 2025.

10. General and Administrative Expenses

This account consists of:

	January to September 2025	January to September 2024
Professional fees	₱1,154,611	₱1,136,000
Taxes and licenses	516,699	731,433
Commission	141,387	265,766
Stock Transaction fees	18,198	34,231
Others	393,666	398,275
	₱ 2,224,561	₱2,565,705

11. Related Party Transactions

In the normal course of business, the Corporation has transactions with its related party. The table below summarizes the related party transactions of the Corporation as of September 30, 2025.

<u>Nature of Relationship</u>	<u>Nature of Transaction</u>	<u>Amount of Transactions</u>	<u>Outstanding Balance</u>
Receivables			
Entity under common key management	Advances for stock broker	₱0	₱9,685 567
	Commission expense	141,387	—

Outstanding balance is unsecured, noninterest-bearing and to be collected in cash within one (1) year. No impairment loss was recognized on receivables from related party as of September 30, 2025.

Compensation of Key Management Personnel

Key management personnel of the Corporation are also members of its BOD. No compensation was provided by the Corporation to key management personnel as of September 30, 2025 and in 2024.

12. Income Taxes

The Corporation has no current income tax expense for the first three (3) quarters of 2025 and for the year 2024. Sale on Financial Asset at FVPL, interest, and dividend income were subjected to final tax.

13. Income (Loss) per Share

Basic/diluted income (loss) per share attributable to the Corporation's stockholders is computed as follows:

	September 2025	September 2024
Net income (loss) (a)	₱16,010,262	₱50,172,946
Weighted average number of shares outstanding (b):		
Issued	1,936,442,040	1,936,442,040
Held in treasury	(1,000,280)	(1,000,280)
	1,935,441,760	1,935,441,760
Income (loss) per share from operations (a/b)	₱0.008	₱0.026

The calculation of basic and diluted earnings per share in 2025 and 2024 were retroactively adjusted as a result of the reduction of the par value of the Corporation's shares of stock from One Peso (₱1.00) to Ten Centavos (₱0.10) per share (see Note 9).

14. Financial Risk Management, Objectives and Policies

The Corporation's financial instruments consist of cash and cash equivalents, financial assets at FVPL, receivables, and accrued expenses and other payables (excluding statutory payables) arising directly from its operations.

The main financial risks arising from the Corporation's use of these financial instruments are equity price risk, credit risk and liquidity risk. The BOD regularly reviews and approves on certain policies for managing these financial risks.

Equity Price Risk

Equity price risk is the risk that the Corporation will incur economic losses due to adverse changes in a particular stock or stock index. As of September 30, 2025, equity instrument that is subject to equity price risk includes quoted financial assets at FVPL amounting to ₱258,197,610.

Credit Risk

The Corporation's exposure to credit risk arises from the failure on the part of its counterparty to fulfill its financial commitments to the Corporation under the prevailing contractual terms. Financial instruments that potentially subject the Corporation to credit risk consist primarily of cash in banks, short-term placements and receivables.

The Corporation limits its exposure to credit risk by investing its cash in banks and short-term placements only with banks that have good credit standing and reputation in the local and international banking industry. These instruments are graded in the top category by an acceptable credit rating agency and, therefore, are considered to be low credit risk investments. In addition, receivables are entered into with companies with good credit standing and relatively low risk of defaults. Further, these are monitored on an on-going basis to ensure collections.

It is the Corporation's policy to measure ECL on the above instruments on a twelve (12)-month basis. However, when there has been a significant increase in credit risk since origination, the allowance will be based on the lifetime ECL.

When determining if there has been a significant increase in credit risk, the Corporation considers reasonable and supportable information that is available without undue cost or effort and that is relevant for the particular financial instrument being assessed such as, but not limited to, the following factors:

- Actual or expected external and internal credit rating downgrade;
- Existing or forecasted adverse changes in business, financial or economic conditions; and
- Actual or expected significant adverse changes in the operating results of the borrower.

The Corporation also considers financial assets that are past due to be the latest point at which lifetime ECL should be recognized unless it can demonstrate that this does not represent significant credit risk such as when non-payment arising from administrative oversight rather than resulting from financial difficulty of the counterparty's financial difficulty.

The Corporation's maximum amount of credit risk exposure without taking into account any collateral, other credit enhancement or other credit risk mitigating features are shown below:

	September 2025		
	03--month ECL	Lifetime ECL - credit impaired	Total
Cash in banks and short-term placements	₱52,375,378	₱—	₱52,375,378
Receivables	10,019,702	62,912,858	72,932,560
	₱62,395,080	₱62,912,858	₱125,307,938

	December 2024		
	12-month ECL	Lifetime ECL - credit impaired	Total
Cash in banks and short-term placements	₱52,663,352	₱—	₱52,663,352

	December 2024		
	12-month ECL	Lifetime ECL - credit impaired	Total
Receivables	8,159,285	62,912,858	71,072,143
	₱60,822,637	₱62,912,858	₱123,735,495

Liquidity Risk

The Corporation's exposure to liquidity risk arises from the possibility that it may encounter difficulties in raising adequate funds to meet its financial commitments at a reasonable cost. The Corporation's objectives in effectively managing its liquidity are: (a) to ensure that adequate funding is available at all times; (b) to meet the commitments as they arise without incurring unnecessary costs; and (c) to be able to access funding when needed at the least possible cost.

Based on contractual undiscounted payments, the Corporation's financial liability (excluding statutory payables) as of September 30, 2025 and December 31, 2024 amounting to ₱5,000 and ₱105,000 respectively are due within one (1) year.

15. Fair Value Measurement

The following table presents the carrying amount and fair value of the Corporation's asset measure at fair value and the corresponding fair value hierarchy

	September 2025 (Unaudited)	December 2024 (Audited)
Asset Measured at Fair Value		
Financial assets at FVPL	₱258,197,610	₱243,904,642

The Corporation's financial assets at FVPL as of September 30, 2025 and December 31, 2024 are carried at fair value based on sources classified under level 1 category. The fair value of the financial assets at FVPL are based on quoted market prices from active markets as at the reporting dates

The table below presents the financial assets and liability of the Corporation whose amounts approximate its fair value due to their short-term nature or whose fair value cannot be reliably measured as of September 30, 2025 and December 31, 2024.

	September 2025 (Unaudited)	December 2024 (Audited)
Financial assets at amortized cost		
Cash and cash equivalents	₱52,385,378	₱52,673,352
Receivables	10,019,702	8,159,285
	₱62,405,080	₱60,832,637
Financial Liability		
Financial liability at amortized cost -		
Accrued expenses and other payables*	₱5,000	₱105,000

*Excluding statutory payables amounting to ₱37,227 and ₱5,612 as of September 30, 2025 and December 31, 2024

16. Supplementary information under Revenue Regulation No 15-2010 of the Bureau of Internal Revenue (BIR)

Output Value-Added Tax (VAT)

The Corporation does not have revenues subjected to output VAT for the first three (3) quarters ending September 30, 2025.

Input VAT

The movement in the input VAT paid by the Corporation for the first three (3) quarters ending September 30, 2025 is shown below:

Beginning balance	₱2,086,621
Domestic purchases/payments for the quarters	
Ending September 30, 2025	<u>166,242</u>
	<u>₱2,252,863</u>

Tax Assessments

The Corporation has no pending deficiency tax assessment from the BIR as at September 30, 2025.

Tax Cases

The Corporation has no pending tax case in courts or other regulatory bodies outside of the BIR as of September 30, 2025

LMG CORP.
(Formerly LMG Chemicals Corp.)

AGING OF ACCOUNTS RECEIVABLE TRADE
As of September 30, 2025

Customer over 180 days	Total Amount	Current	1-30 days	31-60 days	61-90 days	91-120 days	121-180 days
None	₱ 10,019,702	0	0	0	0	0	0

Notes: Other receivables consists of Interest from BDO amounting to ₱334,135 and the balance on stock investment trading account with Value Quest Securities Corporation amounting to ₱9,685,567.

LMG CORP.
(Formerly LMG Chemicals Corp.)

SCHEDULE A
FINANCIAL ASSETS
September 30, 2025

Name of issuing entity and association of each issue	Number of shares or principal amount of bonds and notes	Amount shown in the balance sheet	Income received and accrued
Cash equivalents:			
Banco de Oro	₱52,072,943	₱52,072,943	₱1,762,091
Cash in banks:			
Banco de Oro	216,644	216,644	191
Metropolitan Bank and Trust Company	85,791	85,791	29
	302,435	302,435	220
Stock Investment at FVPL	258,197,610	258,197,610	0
TOTAL	₱310,572,988	₱310,572,988	₱1,762,311

LMG CORP.
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SCHEDULE B
AMOUNTS RECEIVABLE FROM
DIRECTORS, OFFICERS, EMPLOYEES, RELATED PARTIES
AND PRINCIPAL STOCKHOLDERS (OTHER THAN RELATED PARTIES)
September 30, 2025

Name and designation of debtor	Balance at beginning of year	Deduction	Amounts collected	Amounts written off	Current	Noncurrent	Balance at end of the quarter
Value Quest Securities Corporation	₱7,286,695			None	₱2,398,872	None	₱9,685,567

[illegible]

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SCHEDULE D
INTANGIBLE ASSETS - OTHER ASSETS
September 30, 2025

Description	Beginning balance	Additions at cost	Charged to cost and expenses	Charged to other accounts	Other changes, additions (deductions)	Ending Balance
None	None	None	None	None	None	None

LMG CORP.
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SCHEDULE E
LONG-TERM DEBT
September 30, 2025

Title of issue and type of obligation	Amount authorized by indenture	Amount shown under caption	Amount shown under	Interest rate	Maturity dates
		"Current portion of long-term debt" in related balance sheet	caption "Long-Term Debt" in related balance sheet		
None	None	None	None	None	None

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SCHEDULE F
INDEBTEDNESS TO RELATED PARTIES
September 30, 2025

Name of related party	Balance at beginning of year	Balance at end of year
None	None	None

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SCHEDULE G
GUARANTEES OF SECURITIES AND OTHER ISSUERS
September 30, 2025

Name of issuing entity of securities guaranteed by the company for which this statement is filed	Title of issue of each class of securities guaranteed	Total amount guaranteed and outstanding	Amount owned by person for which statement is filed	Nature of guarantee
None	None	None	None	None

LMG CORP.
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SCHEDULE H
CAPITAL STOCK
September 30, 2025

Title of issue	Number of shares authorized	Number of shares issued and outstanding at shown under related balance sheet caption	Number of shares reserved for options, warrants, conversion and other rights	Number of shares held by related parties	Directors, officers and employees	Others
Common Stock	2,000,000,000	1,936,442,040	–	–	1,000	1,936,441,040

LMG CORP.
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**SUPPLEMENTARY SCHEDULE OF RECONCILIATION OF RETAINED EARNINGS
AVAILABLE FOR DIVIDEND DECLARATION OF THE CORPORATION
September 30, 2025**

Retained Earnings, beginning of reporting period		₱15,757,134
Add: Net income for the three (3) quarters of 2025 based on the unaudited financial statements	16,010,262	
Less: Unrealized gain on valuation of financial assets at FVPL	(4,164,241)	11,846,021
Retained earnings available for dividends		₱27,603,155